

ZEBRA TECHNOLOGIES THIRD-QUARTER 2016 RESULTS

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Third-Quarter 2016 Highlights

- Executing well in a period of rapid change and transformation
- Adjusted sales of \$906M, flat to 3Q15 in constant currency
 - Enterprise segment increase driven by growth in services and data capture
 - Pre-transaction Zebra sales decrease due to a primarily one-time price concession to distributors¹, as well as lower sales of Location Solutions
 - Gradually improving environment throughout 2016
- **North America** sales down slightly vs year period, but grew sequentially
- **EMEA** sales higher in constant FX from strength in mobile computing sales
- Slightly lower sales in **Asia-Pacific** due to price concession to distributors¹
- Lower sales in **Latin America** from prior year period, but improved sequential trend
- Non-GAAP EPS of \$1.43 vs. \$1.39 in 3Q15
- \$90M debt paydown in Q3

1. Price concession to distributors relates to new duties imposed on printers imported into China; total price concession to distributors reduced 3Q16 sales in Asia-Pacific by six percentage points



Third-Quarter P&L Summary⁽¹⁾

In millions, except per share data	3Q16	3Q15	Change
Adjusted Net Sales ⁽²⁾	\$906	\$919	(0.3)% ⁽³⁾
Adj. Gross Margin (%) ⁽²⁾	45.9%	45.4%	50 bps
Adj. EBITDA	\$169	\$159	6.3%
Adj. EBITDA Margin (%)	18.7%	17.3%	140 bps
Adjusted diluted EPS	\$1.43	\$1.39	2.9%

- **Adj. Net Sales approx. flat⁽³⁾**
 - Enterprise sales up 1%⁽³⁾
 - Pre-transaction Zebra sales down 3%^(3,4)
- **Regional breakdown**
 - North America down 2%
 - EMEA up 4%⁽³⁾
 - Asia Pacific down 1%^(3,4)
 - Latin America down 3%
- **Adj. EBITDA margin improvement**
 - Higher gross margin
 - Lower operating expenses, excl. non-cash impairment charges

1. Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

2. Excludes purchase accounting adjustments

3. Assumes constant FX to prior year period

4. 3Q16 negatively impacted by price concession to distributors related to new duties imposed on printers imported into China

Balance Sheet and Cash Flow

Liquidity

- \$163M in cash as of 3Q16
- Tax efficient repatriation of excess foreign cash in 2016
- Zero borrowings on \$250M revolver; no financial covenant unless >\$50M draw down
- Reducing required minimum operating cash on hand this year through Enterprise integration initiatives

Long-Term Debt

- \$2.8B in long-term debt; financed the Oct. 2014 Enterprise acquisition
- \$235M of principal payments YTD 3Q16
- Net-debt-to-adjusted-EBITDA ratio of ~ 4.4x as of 3Q16

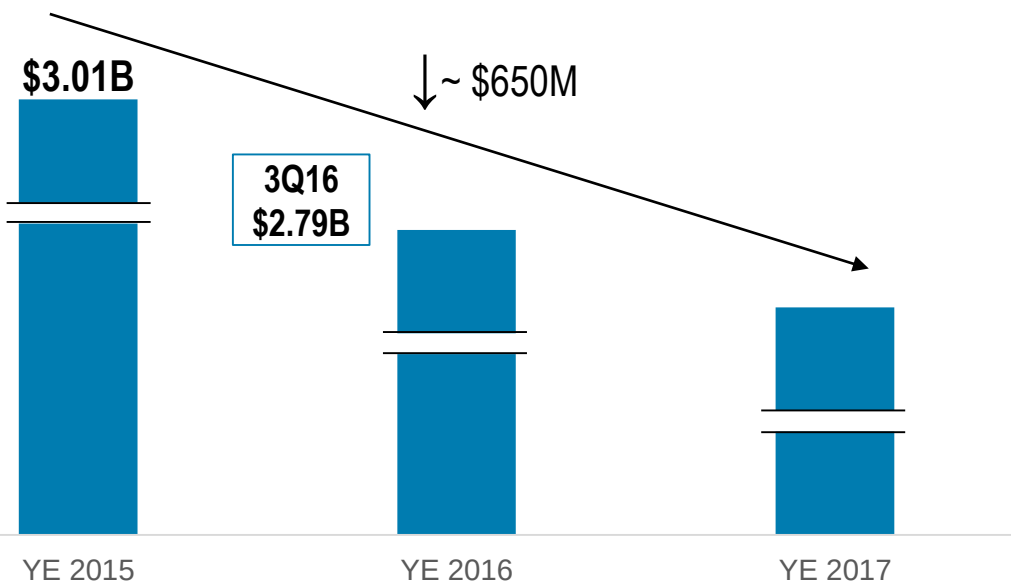
Cash Flow

- \$245M cash flow from operation YTD 3Q16; more than double prior year period
- Primary drivers of 2016 cash flow improvement:
 - Working capital initiatives
 - Lower integration and restructuring costs
 - Lower capital expenditures
 - EBITDA improvement

Debt Reduction is Top Priority

Financed October 2014 Enterprise acquisition with \$3.25B of debt

Total Debt



Cash & Cash Equivalents



Net-Debt-to-Adjusted EBITDA

2x-3x
Target Range



Outlook

4Q16

- Net sales (4)% to (1)% vs. 4Q15, representing (3)% to 0% in constant currency; assumes ~ 3% impact from October sale of WLAN business; expect to achieve organic growth
- Adj. EBITDA margin range of 19 to 20%
- Adj. EPS range of \$1.65 to \$1.85

FY16 Assumptions

- Sales within the range of previously announced full year outlook excl. impact of WLAN divestiture
- Adj. EBITDA >17%
- Interest expense of \$190-195M
 - Amortization of debt issuance costs of \$21-22M
- Stock-based compensation expense of \$27-29M
- Non-GAAP tax rate ~26%
- Cash taxes of \$70-75M
- Capital expenditures of \$65-70M
- Depreciation & amortization of \$305-310M

Focused on Strategic Priorities in 2016

Deliver Profitable Growth

- Our technology is vital as customers pursue their strategic goals
- Leverage expertise and expand vertical presence
- Continued focus on innovation and new product introductions
- Improve performance in the services business

Realize Cost Synergies

- Realize \$50M of incremental cost synergies in 2016
- Improve EBITDA margin
- Prudently manage costs

De-lever the Balance Sheet

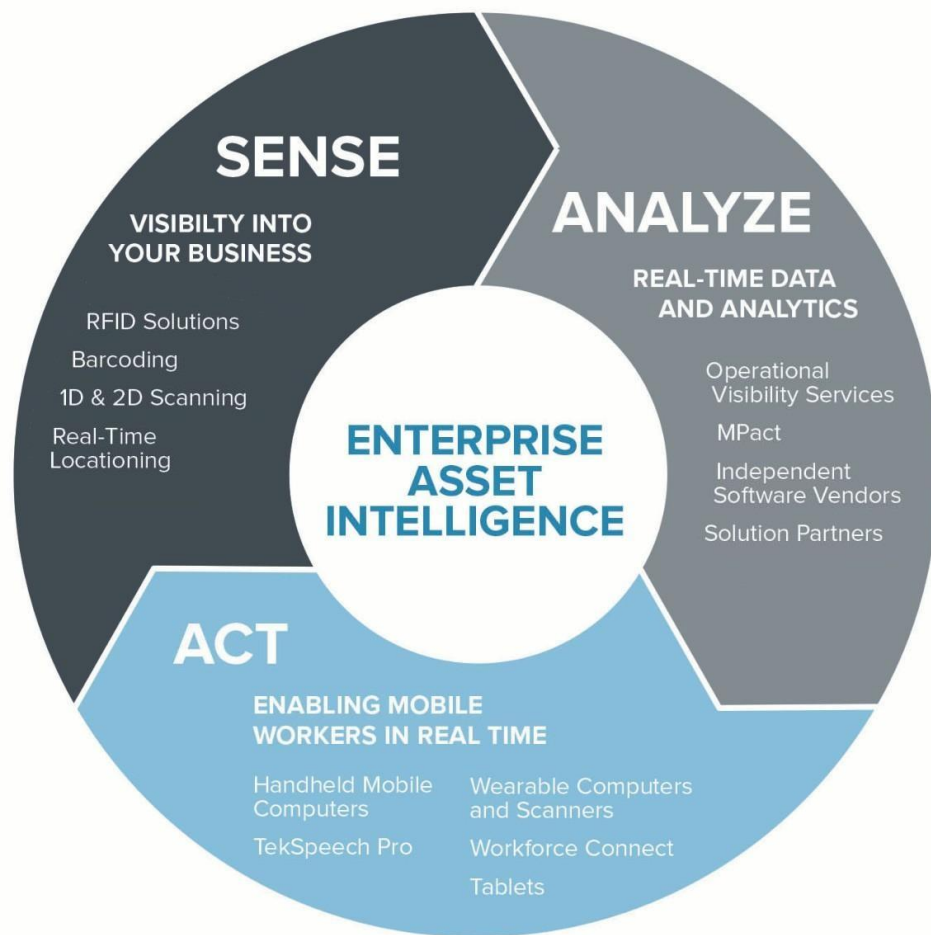
- Improve cash flow and lower operating cash levels
- Debt reduction of \$300M in 2016 to continue to de-lever capital structure; expect to exceed this goal, given the recent sale of WLAN business

Operate as One Zebra

- Build on global brand strength
- Continued planning and execution on Enterprise integration, including IT systems
- Operationalize Enterprise Asset Intelligence vision

Zebra: Global Leader of Enterprise Asset Intelligence

Providing the smart, visionary solutions to see the big picture



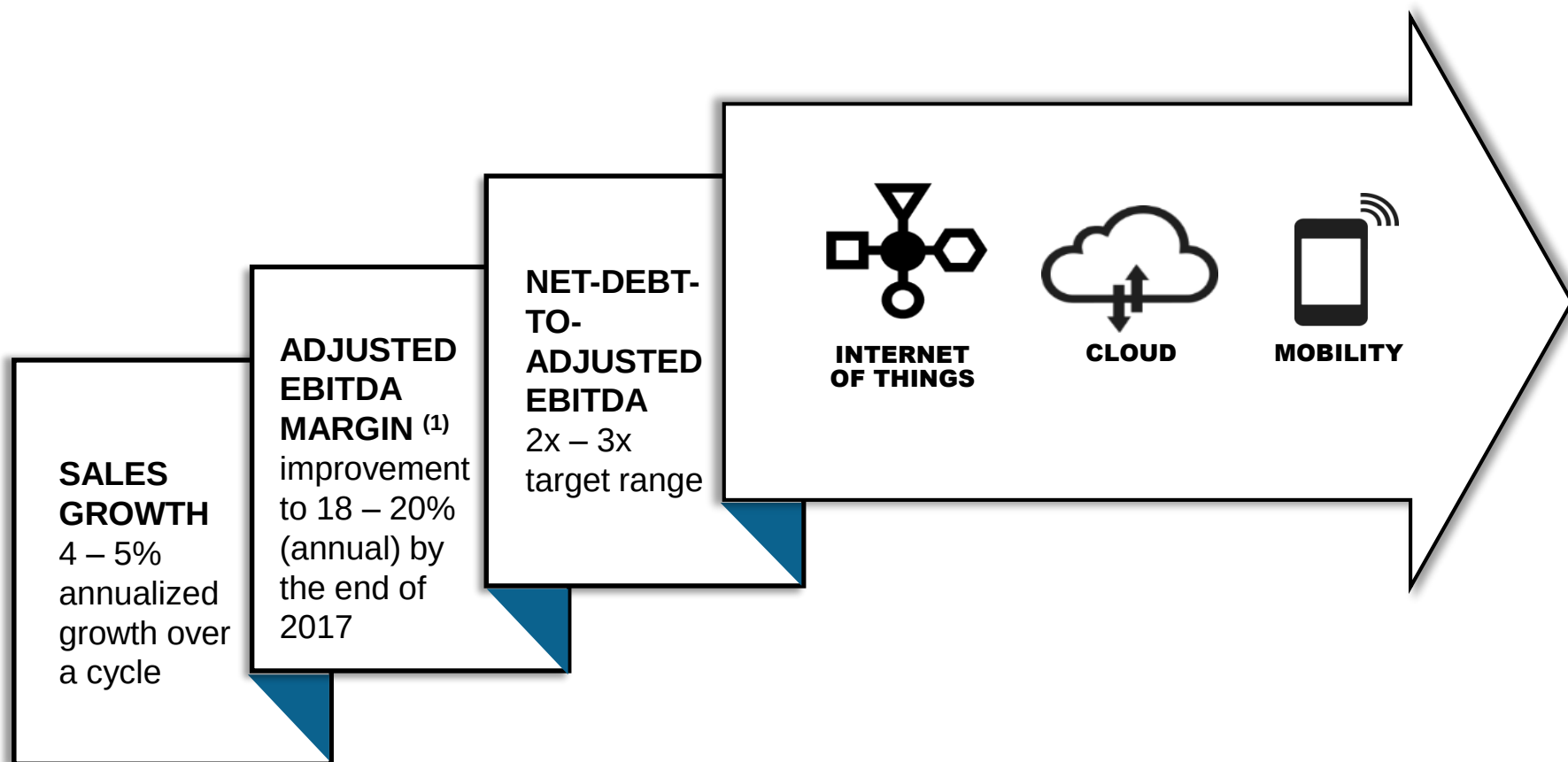
Zebra's innovative solutions **makes businesses smarter and more connected**, enabling real-time:

- Visibility into people and things;
- Analysis of operational data; and
- Critical insights and knowledge to act on.

“Visibility That’s Visionary”

Long-Term Outlook

Positioned for Success



1) Assumes no material change to the macroeconomic environment, or global currency exchange rate environment.



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QUESTIONS?



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APPENDIX

Reconciliation of GAAP to Non-GAAP Net Income

	Three Months Ended		Nine Months Ended	
	October 1, 2016	October 3, 2015	October 1, 2016	October 3, 2015
Net (loss) income	\$ (83)	\$ (29)	\$ (154)	\$ (131)
Income tax expense (benefit)	\$ 6	\$ 4	\$ 5	\$ (5)
Share-based compensation	\$ 9	\$ 9	\$ 21	\$ 26
Acquisition and integration costs	\$ 28	\$ 37	\$ 98	\$ 94
Exit and restructuring costs	\$ 7	\$ 6	\$ 17	\$ 35
Impairment of goodwill and other intangibles	\$ 62	\$ -	\$ 62	\$ -
Investment loss/ (income)	\$ 5	\$ -	\$ 5	\$ (1)
Purchase accounting adjustments	\$ 2	\$ 4	\$ 8	\$ 16
Foreign exchange loss (income)	\$ 1	\$ 5	\$ 4	\$ 21
Amortization of intangible assets	\$ 59	\$ 59	\$ 178	\$ 190
Amortization of debt issuance cost and discount	\$ 5	\$ 3	\$ 16	\$ 13
Forward interest rate swaps (loss) gain	\$ -	\$ (3)	\$ (2)	\$ (3)
Tax effects	\$ (26)	\$ (21)	\$ (67)	\$ (57)
Total adjustments	\$ 158	\$ 101	\$ 345	\$ 329
Non-GAAP net income	\$ 75	\$ 72	\$ 191	\$ 198
GAAP (loss) earnings per share				
Basic	\$ (1.61)	\$ (0.57)	\$ (2.99)	\$ (2.56)
Diluted	\$ (1.61)	\$ (0.57)	\$ (2.99)	\$ (2.56)
Non-GAAP earnings per share				
Basic	\$ 1.45	\$ 1.42	\$ 3.71	\$ 3.89
Diluted	\$ 1.43	\$ 1.39	\$ 3.66	\$ 3.80
Basic weighted average shares outstanding	51,690	51,151	51,499	50,926
Diluted weighted average and equivalent shares outstanding	52,305	52,255	52,140	52,088

NOTE: Amounts may not foot due to rounding.

A reconciliation of Non-GAAP financial measures to the equivalent GAAP financial measures for projected results is not available without unreasonable effort. We are unable to predict with reasonable certainty the outcome of charges associated with acquisitions and divestitures, impairment of long-lived assets, and other unusual gains and losses.

GAAP to Non-GAAP Reconciliation

EBITDA Reconciliation	Three Months Ended		Nine Months Ended	
	October 1, 2016	October 3, 2015	October 1, 2016	October 3, 2015
Operating (loss) income	\$ (24)	\$ 25	\$ 9	\$ 31
Depreciation	\$ 21	\$ 20	\$ 56	\$ 51
Amortization of intangible assets	\$ 59	\$ 59	\$ 178	\$ 190
EBITDA (Non-GAAP)	<u>\$ 56</u>	<u>\$ 104</u>	<u>\$ 243</u>	<u>\$ 272</u>
Acquisition and integration costs	\$ 28	\$ 37	\$ 98	\$ 94
Purchase accounting adjustments	\$ 2	\$ 4	\$ 8	\$ 16
Exit and restructuring costs	\$ 7	\$ 6	\$ 17	\$ 35
Impairment of Goodwill, Acquired Intangibles	\$ 62	\$ -	\$ 62	\$ -
Investment loss/ (income)	\$ 5	\$ -	\$ 5	\$ (1)
Share-based compensation	\$ 9	\$ 9	\$ 21	\$ 26
Adjusted EBITDA (Non-GAAP)	<u>\$ 169</u>	<u>\$ 159</u>	<u>\$ 454</u>	<u>\$ 443</u>
Adjusted EBITDA % of Non-GAAP Sales	<u>18.7%</u>	<u>17.3%</u>	<u>17.2%</u>	<u>16.3%</u>

NOTE: Amounts may not foot due to rounding.

A reconciliation of Non-GAAP financial measures to the equivalent GAAP financial measures for projected results is not available without unreasonable effort. We are unable to predict with reasonable certainty the outcome of charges associated with acquisitions and divestitures, impairment of long-lived assets, and other unusual gains and losses.

GAAP to Non-GAAP Reconciliation

(Amounts in millions)

ADJUSTED NET SALES DECLINE

	Three Months Ended October 1, 2016
Reported net sales decline	(1.3) %
Purchase accounting adjustments	(0.1) %
Exclusion of foreign currency translation impact	1.1 %
Adjusted net sales decline in constant currency	(0.3) %

ADJUSTED NET SALES BY SEGMENT

	Three Months Ended		
	October 1, 2016	October 3, 2015	Percent Change
Legacy Zebra	\$ 301	\$ 314	-4.1
Enterprise	605	605	0.0
Adjusted net sales	\$ 906	\$ 919	-1.4
Purchase accounting adjustments	(2)	(3)	
Reported net sales	\$ 904	\$ 916	-1.3